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VCs have almost completely abandoned biotech investing

By [Rosie Bradbury](#)

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VC funds investing in biotech have fallen to their lowest fundraising levels in over a decade, according to [a new PitchBook analysis](#).

From its peak in 2018, fundraising by biotech investors has fallen 92% in total capital committed and has continued to decline despite fundraising recovering in other sectors.

So far this year, biotech funds have comprised just 3% of venture capital raised across the asset class.

Factors including rising costs of capital, fewer biotech IPOs and acquisitions post-pandemic, and VCs' accelerated focus on AI have diverted capital away from the space, notes PitchBook senior biotech analyst Kazi Helal in the report.

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Biotech innovation takes a notoriously long time from the ideation and R&D stage to commercial traction, slowed by the regulatory process in between and high risk potential.

"For some biotech companies, the risk doesn't justify the potential return," said PR Yu, managing partner at [Yu Galaxy](#), a generalist fund that has made biotech bets in the past. "Even when you have some animal study, it's far from certain that you will have exciting human data—and it will take many years to see whether it works for humans."

While biotech investing is often considered distinct from startup investing, many of the venture world's mainstays have been active biotech investors: [NEA](#), [Kleiner Perkins](#), [General Catalyst](#) and [Andreessen Horowitz](#)—to name a few—all have significant biotech strategies.

And with good reason: Biotech can add some resiliency to a fund's portfolio, as the sector's exit values have proven slightly more resilient than some of venture's favorite industries. While M&A activity in biotech and pharma is down from 2018 and 2019, it isn't dismal. In fact, biotech exits [were actually up in 2024](#) year-over-year.

VC-backed biotech and pharmaceutical companies created \$19.7 billion in exit value in 2024, per PitchBook data—around 6% of venture's total exit value for the year. And that's an uptick from its share of exit value in 2021, at the peak of the tech bubble when money was cheap.

Indeed, some of 2024's most notable IPOs amid the general gloom were in biotech, including [CG Oncology](#), [Kyverna Therapeutics](#) and [Bicara Therapeutics](#).

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About [Rosie Bradbury](#).

Rosie Bradbury is a senior reporter covering startups and venture capital for PitchBook News. Based in New York, she previously reported for the Bureau of Investigative Journalism, Business Insider and Wired. Rosie studied history and politics at the University of Cambridge.

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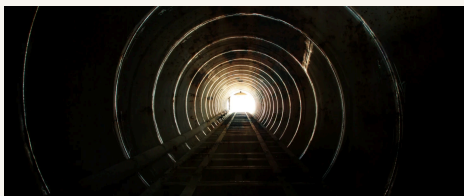
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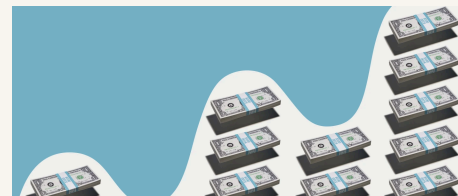


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